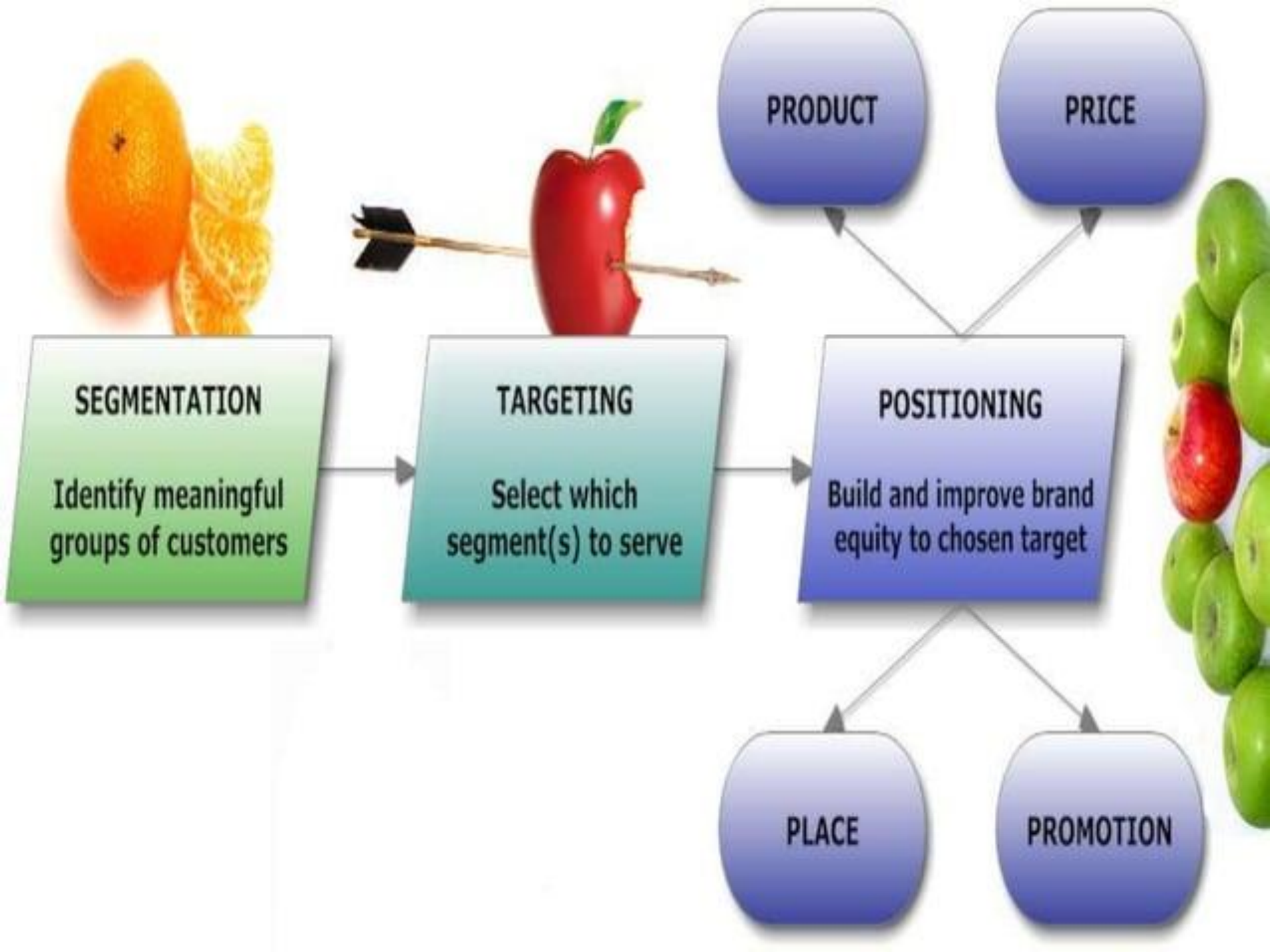



# Market Segmentation






Segmentation
Targeting
Marketing
Approching
Positioning
Product
Price
Customer
Place
Promotion


SEGMENTATION
Identify meaningful groups of customers
TARGETING
Select which segment(s) to serve
POSITIONING
Build and improve brand equity to chosen target
PRODUCT
PRICE
PLACE
PROMOTION

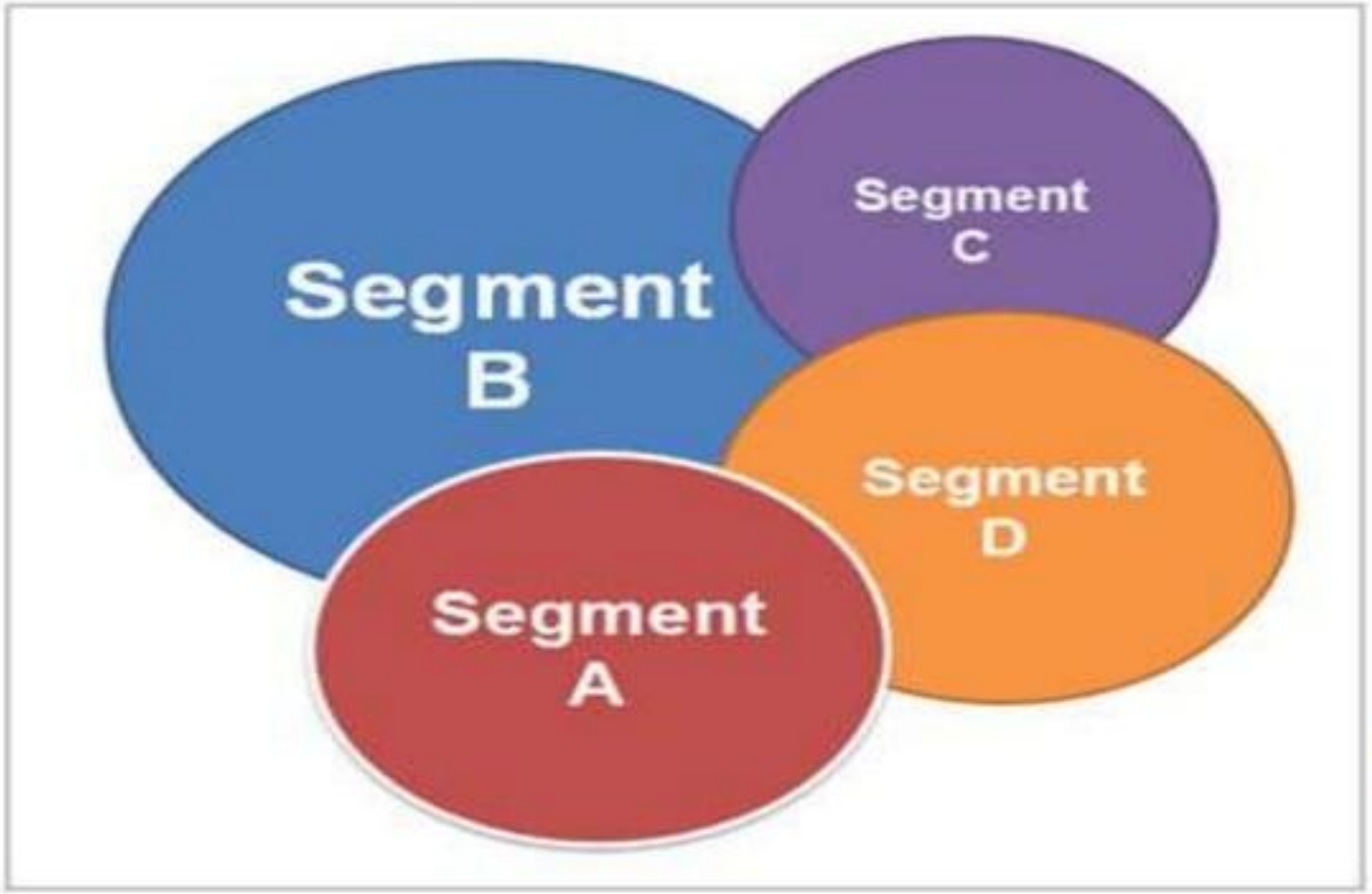
## Definition of Market Segmentation

Market Segmentation is the Sub- dividing of customers into homogenous sub-set of customers where any sub- set may conceivably selected as market target to be reached with distinct Marketing Mix.

Philip Kotler



- Segmentation aim to match groups of purchasers with the same set of needs and buyer behaviour. Such group is known as a 'Segment'.



# WHY MARKET SEGMENTATION ?

- To develop marketing activities
- Increase marketing effectiveness
- Understanding customers & generate greater customer satisfaction
- Design a Marketing Mix that precisely matches the expectation of customers in the targeted segment
- Adjustment of product to the market need
- To overcome competition effectively
- To contribute towards achieving company goals













- STP stands for-

a) Starting, Transportation, Promotion
b) Segmentation, Targeting, Promoting
c) Segmentation, Targeting, Positioning
d) Selling, Telling, Providing

- Segmentation is the approach of-

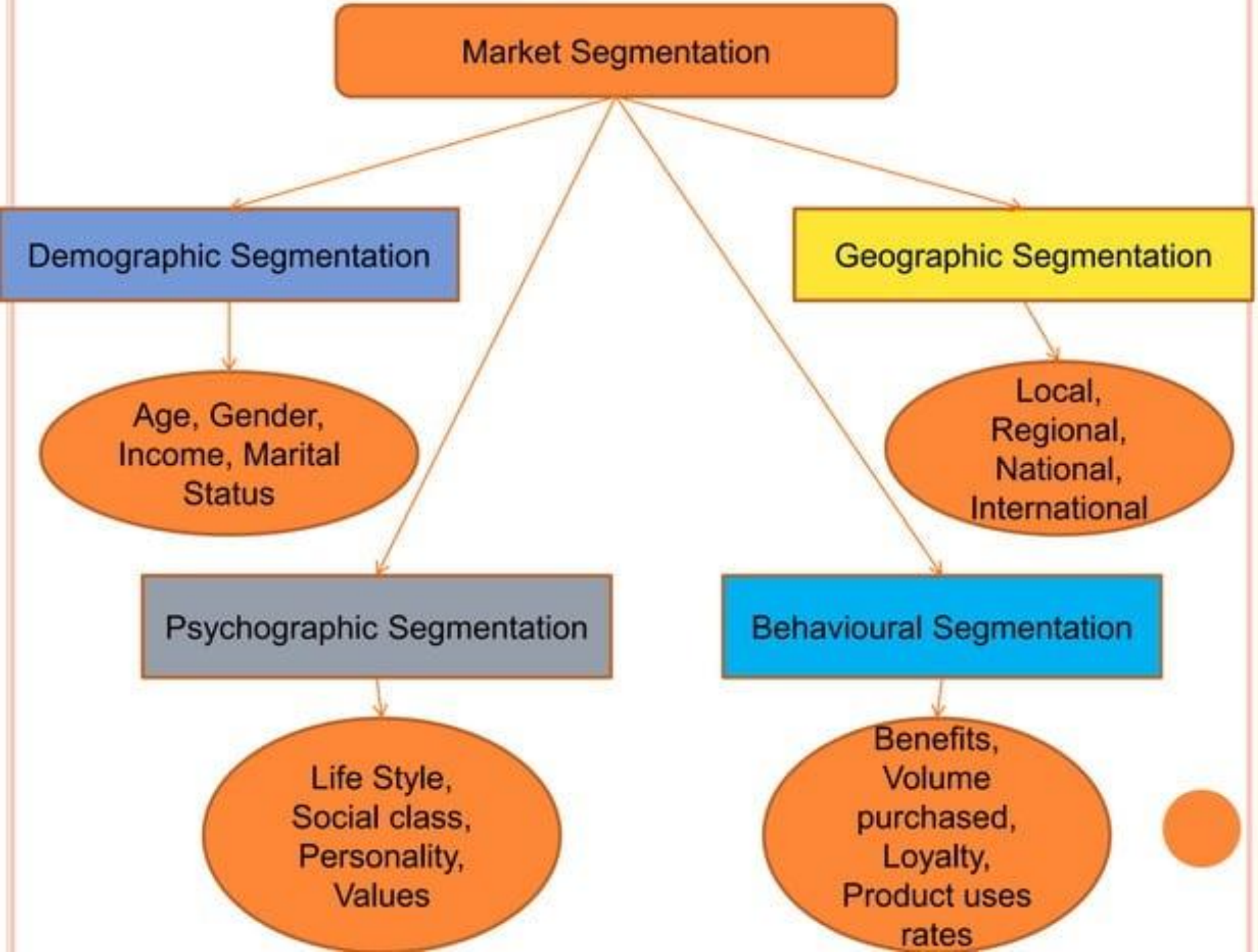
a) Marketing Mix
b) Marketing Strategy
c) Marketing Environment
d) Marketing Plan

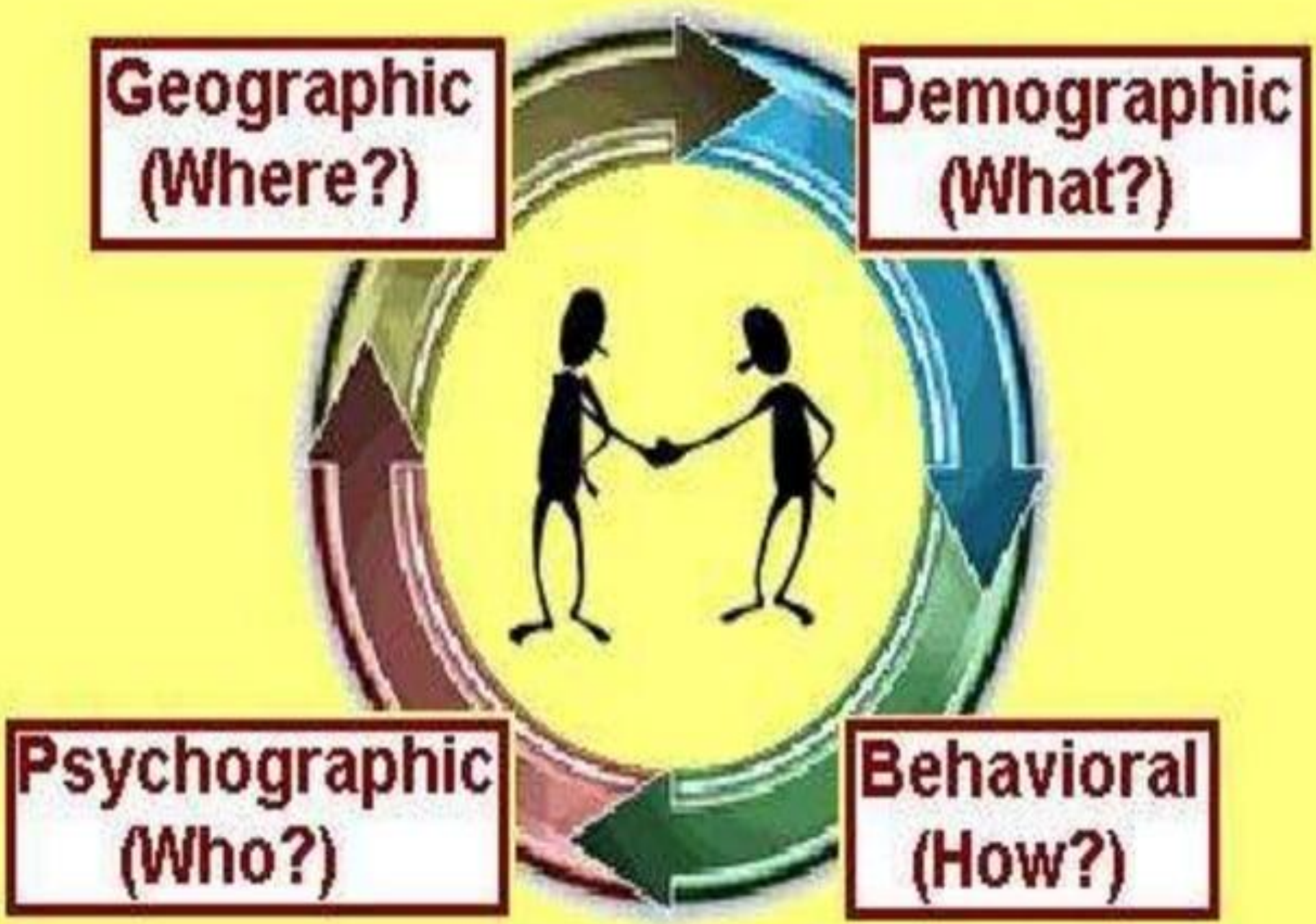
- _____ is the process of dividing the broad target market into sub-markets, sub units of consumers.

a) Market Targeting
b) Market Positioning
c) Market Segmentation
d) None of these

# Bases for Market Segmentation




Market Segmentation
Demographic Segmentation
Geographic Segmentation
Age, Gender, Income, Marital Status
Local, Regional, National, International
Psychographic Segmentation
Behavioural Segmentation
Life Style, Social class, Personality, Values
Benefits, Volume purchased, Loyalty, Product uses rates


Geographic
(Where?)
Demographic
(What?)
Psychographic
(Who?)
Behavioral
(How?)

# Demographic Segmentation

- In Demographic Segment market is divided into groups on the basis of Variables such as religion, community, language, age, stage in the family life cycle, gender, marital status, family size, occupation, income, educational level and social status of the consumer .

## VARIABLES IN DEMOGRAPHIC SEGMENTATION

- Age- Babies, Kids, Teen, The Youth (age 29 and below), The working group of age 30 and Above, The senior Citizen

**Example-** marketing company engaged in ready-made garments should opt for age-group distribution of population for the purpose of market segmentation.







- Region- Metro, urban, sub-urban and rural



Metro City



Urban City



Sub-urban City



Rural City

- Gender- Man, Woman





- Income/ Purchasing Capacity- Buyer' Preferred Price Range

Example- HCL identified the Below Rs 10000 per month' income group as a distinct and strong segment in home PC's. By offering PC's at a low price of Rs. 12990. the company found it a 'growth segment'. Through this segmentation , HCL has come to enjoy a 14.5% market share in home PC's.



Suzuki SX4



SUZUKI SX4



Audi



Tata Nano

# Geographic Segmentation

- Geographically markets can be segmented on the basis of Climate zone, Region, Countries, Nations, States, Districts and urban/ rural area.

Climate- Temperate, Hot, Humid, Rainy

Region- Southwest, Mountain States



# Psychographic Segmentation

- Market can be segmented on the basis of the psychological elements like psyche and personality traits like self-concept, life styles, attitude and value system.
- It facilitates grouping of consumers in such a manner that group shares a common buying behaviour .



## VARIABLES IN PSYCHOGRAPHIC SEGMENTATION

- Lifestyle- It takes into account different dimensions of consumer such as their activities, interests, opinions and their spending.

Example- Titan Watches, Cafe coffee day















- Personality- Extrovert, novelty seeker, aggressive, innovators
- Perception- Low risk, Moderate risk, High risk





# Behavioural Segmentation

- It is also called Buyer behaviour segmentation.
- Market can be segmented on the basis of the behaviour of buyer like benefit sought, product usages rate, brand loyalty, buyer's readiness status for the product , volume of purchase, purchase occasion Buyer's attitude towards the products.



- Benefit sought- Benefit expected by the consumer
- Example- Natural beauty care product
- Product uses rate- the market is divided into currently users & currently non- users.
- Volume-Quantities of purchase
- Attitude- it is a learned tendency to respond towards a product range from enthusiastic, positive, indifferent negative hostile
- Occasions- choose Cadbury
- Brand loyalty- Johnson's

# Benefits of Market Segmentation

- The benefits of marketing segmentation are:

**It helps to distinguish one customer group from another within a given market.**

**It facilitates proper choice of target market.**

**It facilitates effective tapping of the market.**

**It helps to divide the markets and conquer them.**

**It makes the marketing effort more efficiently.**

# Benefits of Market Segmentation

- The benefits of marketing segmentation are:

**Firm can create marketing plans & programmes according to needs of market.**

**Design the right products & services that match the market demand.**

**Small marketing firm with limited resources can compete more efficiently.**

**4 p's can de used intelligently & rationally to obtain the twin objectives- maximum customer satisfaction & Profitable sales volume.**

**It better explains the needs & preference of customers.**

# Target Marketing

- A target market is a set of buyers sharing common needs and characteristics that the marketing firm decides to serve.
- Deciding which segment will be selected as target market.
- Ramaswami & Namakumari opine that 'through segmentation, a firm divides the market into many segments but all these segments need not form its target market.

# CONT....

- Target marketing involves 3 activities:-
  - MARKET SEGMENTATION
  - MARKET TARGETING
  - MARKET POSITIONING
- It is called S.T.P. strategy in Marketing.
- **Market segmentation** is a process of taking the total heterogeneous market for a product & dividing it into sub-markets or segments, each of which tends to be homogeneous.
- **Market targeting** means choosing one's target market. In choosing the target market, a firm basically carries out on evaluation of the various segments and select those segments that it wants to adopt as its market.
- **Market positioning** is next dimension of marketing strategy, which indicates the place, the brand or product occupies in a given market. Positioning is not what you do to a product, it is what you do to the mind of the prospect. Positioning is the act of designing the company's offering and image to occupy a distinctive place in the mind of the target market.